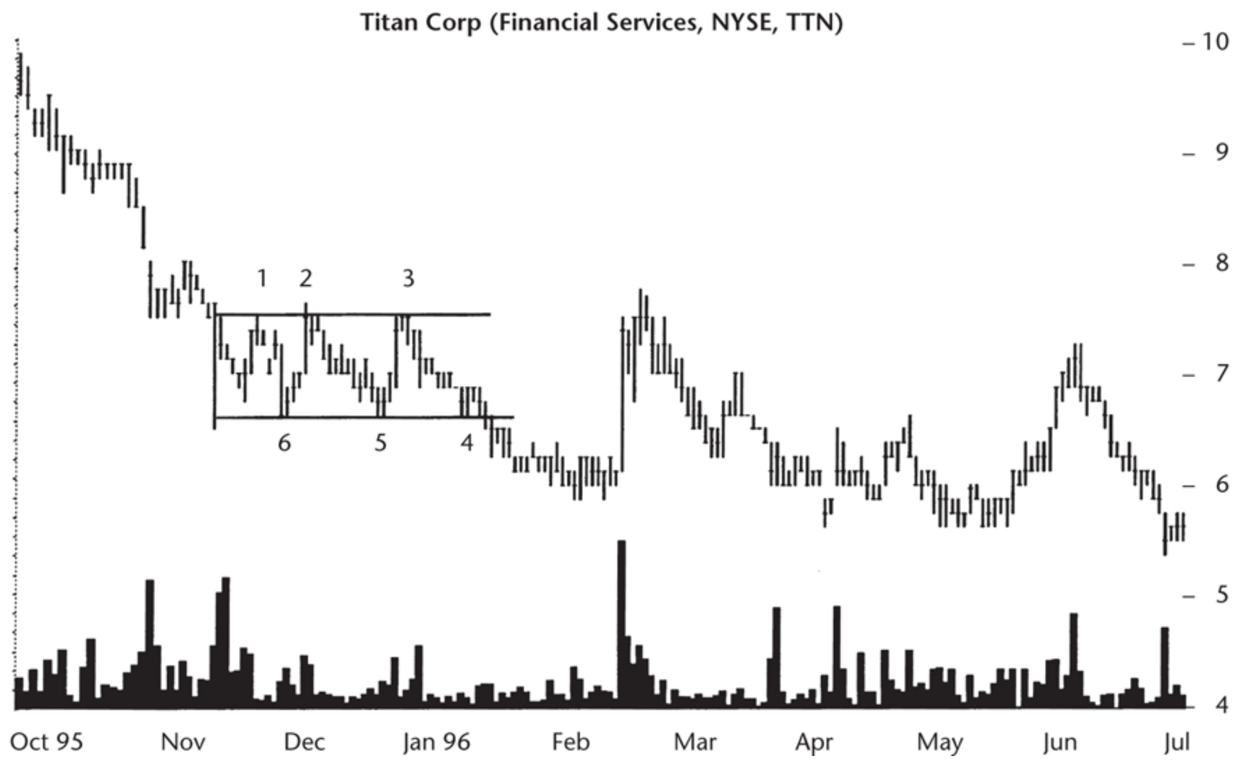

Figure 51.2 A rectangle bottom appears in a downtrend. Price falls out the bottom and then retraces to the rectangle top before moving lower.

Appearance. Price travels horizontally for several weeks, bouncing between underlying support and overhead resistance, forming a rectangle pattern.

Price trend. The price trend leading to the rectangle bottom is downward, which is what separates rectangle bottoms from their top brothers. As shown in Figure 51.1, I ignore overshoot or undershoot (see the Glossary for a definition) before the formation starts, choosing to use the prevailing longer price trend instead.

Horizontal trendlines. Price bounces between two levels, setting up a support zone at the bottom and a line of resistance at the top of the rectangle. If you connect the minor highs with a trendline, it should be horizontal or nearly so. A similar line drawn below the bottoms forms a parallel trendline. The two trendlines bound the price action. Occasionally, one of the lines will not be exactly horizontal or will break near the end, which is fine as long as the slope is not too steep to disturb the overall picture.